

business must be carried on at either a profit or loss, and as the members of the company take the profit, they must also bear the loss, and therefore if the managers incur debts or expenses by employing labour or ordering goods *in the ordinary course of business*, or borrow money and apply it to these purposes, they must be indemnified in equity by the other members of the company (*i*).

* 54. **Trustees' shares.** — Trustees of shares in an [*596] unlimited Banking Company have no power, unless specially authorised by their settlement, to accept *new shares* allotted to them though issued at a premium (*a*).

55. **Enfranchisement.** — By 15 & 16 Vict. 51, s. 32, trustees of *copyholds* were empowered on *enfranchisement* to charge the expenses on the estate enfranchised, but this section was repealed by 21 & 22 Vict. c. 94, s. 2, and re-enacted in effect by the 21st section, which authorises all persons enfranchising to charge the expenses with the consent of the commissioners on the estate. Any enfranchisement of a trust estate should be made to the trustee who has the legal estate, and not to the *cestui que trust* (*b*).

[56. **Enlarging long term into fee.** — By the Conveyancing and Law of Property Act, 1881, trustees in receipt of the income in right of a long term, or having the term vested in them in trust for sale, may exercise the powers of the Act for enlargement of the term into a fee simple. The estate in fee simple so acquired is to be subject to all the same trusts, powers, executory limitations over, rights, and equities as the term would have been subject to if it had not been enlarged. But where such long leaseholds have been settled in trust by reference to freeholds so as to go along with them as far as the law permits, and at the time of the enlargement the ultimate beneficial interest in the term has not become absolutely and indefeasibly vested, the estate in

Company, 3 De G. M. & G. 180; *Ex parte* Chippendale, 4 De G. M. & G. 43; see *Australian &c. Company v. Mounsey*, 4 K. & J. 733.

(*i*) *Ex parte* Chippendale, 4 De G. M. & G. 19; *Troup's case*, 29

Beav. 353; *Hoare's case*, 30 Beav. 225.

(*a*) *Sculthorpe v. Tipper*, 13 L. R. Eq. 232; [and see *Re Morris*, 54 L. J. N. S. Ch. 388.]

(*b*) See *Minton v. Kirwood*, 3 L. R. Ch. App. 614.